

Item 1: Cover Page

Farnam Financial, LLC

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Form ADV Part 2A – Firm Brochure

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This Brochure provides information about the qualifications and business practices of Farnam Financial, LLC (“Farnam Financial”). If you have any questions about the contents of this Brochure, please contact us at 602-603-4000. The information in this Brochure has not been approved or verified by the United States Securities and Exchange Commission or by any state securities authority.

Farnam Financial, LLC is registered as an investment adviser with the U.S. Securities and Exchange Commission (“SEC”). Registration of an investment adviser does not imply any level of skill or training.

Additional information about Farnam Financial is available on the SEC’s website at www.adviserinfo.sec.gov, which can be found using the firm’s identification number, 306180.

Item 2: Material Changes

In this Item, Farnam Financial is required to identify and discuss material changes since filing its last annual amendment. Since filing its last annual amendment on February 1, 2025, there has been one material change to report:

Item 12: Farnam Financial added Altruist Financial LLC as a custodian.

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Item 4: Advisory Business

Description of Advisory Firm

Farnam Financial, LLC (“Farnam Financial”) is registered as an investment adviser with the U.S. Securities and Exchange Commission (“SEC”). We were founded in October, 2019. Jonathan Bird is the principal owner of Farnam Financial.

Types of Advisory Services

Investment Management Services

Please see Form ADV Part 2A Appendix 1 – Wrap Fee Program Brochure for a description of our Investment Management Services.

Ongoing Financial Planning

Ongoing Financial Planning

This service involves working one-on-one with a planner over an extended period of time. By paying a fixed quarterly fee, Clients will work with a planner who will develop and implement their plan. The planner will monitor the plan, recommend any changes and ensure the plan is up to date.

Upon desiring a comprehensive plan, a Client will be taken through establishing their goals and values around money. They will be required to provide information to help complete the following areas of analysis:

Business Planning: We provide consulting services for Clients who currently operate their own business, are considering starting a business, or are planning for an exit from their current business. Under this type of engagement, we work with you to assess your current situation, identify your objectives, and develop a plan aimed at achieving your goals.

Cash Flow and Debt Management: We will conduct a review of your income and expenses to determine your current surplus or deficit along with advice on prioritizing how any surplus should be used or how to reduce expenses if they exceed your income. Advice may also be provided on which debts to pay off first based on factors such as the interest rate of the debt and any income tax ramifications. We may also recommend what we believe to be an appropriate cash reserve that should be considered for emergencies and other financial goals, along with a review of accounts (such as money market funds) for such reserves, plus strategies to save desired amounts.

Education and Family Support: Includes projecting the amount that will be needed to achieve college or other post-secondary education funding goals, along with advice on ways for you to save the desired amount. Recommendations as to savings strategies are included, and, if needed, we will review your financial picture as it relates to eligibility for financial aid or the best way to contribute to grandchildren (if appropriate).

Executive Compensation and Employee Benefits Optimization: We will provide review and analysis as to whether you, as an employee, are taking the maximum advantage possible of your employee benefits. If you are a business owner or executive, we will consider and/or recommend the various benefit

programs that can be structured to meet both business and personal retirement goals. This includes review of stock options, Restricted Stock, and Grants.

Estate Planning: This usually includes an analysis of your exposure to estate taxes and your current estate plan, which may include whether you have a will, powers of attorney, trusts, and other related documents. Our advice also typically includes ways for you to minimize or avoid future estate taxes by implementing appropriate estate planning strategies such as the use of applicable trusts. We always recommend that you consult with a qualified attorney when you initiate, update, or complete estate planning activities. We may provide you with contact information for attorneys who specialize in estate planning when you wish to hire an attorney for such purposes. From time-to-time, we will participate in meetings or phone calls between you and your attorney with your approval or request.

Financial Goals: We will help Clients identify financial goals and develop a plan to reach them. We will identify what you plan to accomplish, what resources you will need to make it happen, how much time you will need to reach the goal, and how much you should budget for your goal.

Insurance: Review of existing policies to ensure proper coverage for life, health, disability, long-term care, liability, home, and automobile.

Investment Analysis: This may involve developing an asset allocation strategy to meet Clients' financial goals and risk tolerance, providing information on investment vehicles and strategies, reviewing employee stock options, as well as assisting you in establishing your own investment account at a selected broker/dealer or custodian. The strategies and types of investments we may recommend are further discussed in Item 8 of this brochure.

Retirement Planning: Our retirement planning services typically include projections of your likelihood of achieving your financial goals, typically focusing on financial independence as the primary objective. For situations where projections show less than the desired results, we may make recommendations, including those that may impact the original projections by adjusting certain variables (e.g., working longer, saving more, spending less, taking more risk with investments).

If you are near retirement or already retired, advice may be given on appropriate distribution strategies to minimize the likelihood of running out of money or having to adversely alter spending during your retirement years.

Risk Management: A risk management review includes an analysis of your exposure to major risks that could have a significant adverse impact on your financial picture, such as premature death, disability, property and casualty losses, or the need for long-term care planning. Advice may be provided on ways to minimize such risks and about weighing the costs of purchasing insurance versus the benefits of doing so and, likewise, the potential cost of not purchasing insurance ("self-insuring").

Tax Planning Strategies: Advice may include ways to minimize current and future income taxes as a part of your overall financial planning picture. For example, we may make recommendations on which type of account(s) or specific investments should be owned based in part on their "tax efficiency," with the consideration that there is always a possibility of future changes to federal, state or local tax laws and rates that may impact your situation.

We recommend that you consult with a qualified tax professional before initiating any tax planning strategy, and we may provide you with contact information for accountants or attorneys who specialize in this area if you wish to hire someone for such purposes. We will participate in meetings or phone calls between you and your tax professional with your approval.

Planning for Incapacity: We help clients understand the importance and scope of long term care. We also provide guidance to help clients formulate a plan for long-term care and provide advice on how to fund a potential long-term care event. We also provide guidance on creation of healthcare directive and durable power of attorney (DPOA) to ensure the wishes of our clients are being met should they become incapacitated.

Charitable Giving: We help clients who are charitably inclined to gift in the most tax-advantageous way possible. Potential solutions could include the creation of Donor Advised Funds (DAF), Charitable Remainder Trusts (CRTs), and Foundations.

Titling and Beneficiary Designations: We make every effort to ensure that our clients have their assets titled in a manner that fulfills their estate wishes and maximizes their legacy to heirs. We offer guidance on the utilization of living trusts and ensure that beneficiaries are designated in order to avoid probate and the unnecessary costs and time that come with it.

Banking and Credit Management: A review of clients banking and credit management is designed to provide three possible benefits: 1) maximize the interest clients receive on their cash 2) ensure clients are minimizing the interest paid on their existing debt and 3) they have sufficient credit tools available in case of an emergency

Once the Client's information is reviewed, their plan will be built and analyzed, and then the findings, analysis and potential changes to their current situation will be reviewed with the Client. Clients subscribing to this service will receive a written or an electronic report, providing the Client with a detailed financial plan designed to achieve his or her stated financial goals and objectives. If a follow-up meeting is required, we will meet at the Client's convenience. The plan and the Client's financial situation and goals will be monitored throughout the year and follow-up phone calls and emails will be made to the Client to confirm that any agreed upon action steps have been carried out. On an annual basis, there will be a full review of this plan to ensure its accuracy and ongoing appropriateness. Any needed updates will be implemented at that time.

Employer Retirement Plan (Pension) Consultation & Management Services

Our firm provides employer retirement plan consultation services that are intended to assist clients in understanding the scope of their fiduciary duties and responsibilities, develop prudent practices and procedures to enable them to effectively discharge those duties and responsibilities, and document their actions and decisions. We are available to assist administrative and/or investment fiduciaries in the development of prudent practices and supporting documentation designed to enhance the fiduciary role.

We can provide process assessments on the practices currently in place to manage fiduciary duties and responsibilities, as well as offer recommendations to improve plan practices. We can assist in benchmarking service providers by evaluating existing providers and the expenses incurred for their services, and we can prepare a vendor request for information and complete an analysis of the vendor responses. We also work with retirement plan sponsors involving the design and/or investment management of their program offering.

With respect to advisory services provided to a plan sponsor, we are available to conduct:

- Due diligence on existing and potential investment managers and service providers
- Retirement plan asset-class menu recommendations
- Investment Policy Statement review or its development and implementation
- Trustee education
- Plan design recommendations
- Plan mid-year and year-end reviews with trustee(s), as appropriate
- Investment monitoring reports
- Model portfolio generation for participants
- Educational site visits as needed

Upon request we will review an existing or prepare a new investment policy statement (IPS) or similar plan document. The purpose of the IPS is to assist plan investment committees in effectively supervising, monitoring and evaluating their company's retirement plan.

Topics would include:

- Investment committee expectations, objectives and guidelines for the plan, as well as ensuring effective communications between the investment committee and all parties involved with investment management decisions;
- Establishing formal criteria for provider selection and evaluation; and
- Complying with all ERISA, fiduciary, prudence and due diligence requirements applicable with laws, rules and regulations from various local, state or federal entities that may impact plan assets.

Under our plan management services, we will conduct ongoing assessments of selected providers. We may recommend replacement of some or all of the plan investments, a recordkeeper, third-party administrator (TPA), and/or custodian. Our recommendations will depend on a combination of plan goals and objectives, updated due diligence information, as well as cost or other service considerations.

RIA Consulting Service

We provide consulting services to other RIAs in two capacities: 1) Wealth management solutions and 2) Financial planning services. Consulting is provided for employees of RIAs, not to individual clients. These consulting services are designed to expand the depth and breadth of services that RIAs can offer to their individual clients. Wealth management solutions may include how to conduct conversations and add value around such areas as 1) Retirement planning, Estate Planning, Education and Family Support, Charitable Giving, Risk Management and Insurance Planning, and Tax Planning. The financial planning services may include offers such as training on the use of MoneyGuidePro financial planning software, and best practices around the creation and delivery of a financial plan.

Educational Seminars and Speaking Engagements

We may provide seminars on an “as announced” basis for groups seeking general advice on investments and other areas of personal finance. The content of these seminars will vary depending upon the needs of the attendees. These seminars are purely educational in nature and do not involve the sale of any investment products. Seminars and speaking engagements are conducted free of any charges or fees. Information presented will not be based on any individual’s person’s need, nor does Farnam Financial provide individualized investment advice to attendees during these seminars.

Retirement Makeover

By Farnam Financial’s selection we may provide Retirement Makeover services to individuals who agree to have their personal advice sessions recorded and posted to public video platforms such as YouTube. Individuals who participate in these sessions will submit their financial information for review ahead of time. When selected for the Retirement Makeover, an Investment Adviser Representative of Farnam Financial will schedule a meeting with the client during which the client’s retirement questions are addressed. Specific portfolio recommendations will not be provided in the Retirement Makeover. No follow up services or implementation will be provided unless the individual participating in the Retirement Makeover becomes an ongoing client of Farnam Financial. The Retirement Makeover engagement will be limited in scope to a single planning meeting and the engagement shall cease as soon as that meeting is over.

Client Tailored Services and Client Imposed Restrictions

We offer the same suite of services to all of our Clients. However, specific Client financial plans and their implementation are dependent upon the Client Investment Policy Statement which outlines each Client’s current situation (income, tax levels, and risk tolerance levels) and is used to construct a Client specific plan to aid in the selection of a portfolio that matches restrictions, needs, and targets.

Clients are able to specify, within reason, any limitations they would like to place on discretionary authority as it pertains to individual securities and/or sectors that will be traded in their account, by notating these items on the executed advisory agreement.

Retirement Rollovers

A client or prospective client often has four options regarding an existing retirement plan (or use a combination of these options): (1) leave the money in the former employer’s plan, if permitted, (2) roll over the assets to the new employer’s plan, if one is available and rollovers are permitted, (3) roll over to an Individual Retirement Account (“IRA”), or (4) cash out the account value (which could, depending upon the client’s age, result in adverse tax consequences). If Farnam Financial recommends that a client roll over their retirement plan assets into an account to be managed by Farnam Financial, such a recommendation creates a conflict of interest if Farnam will earn a new advisory fee, or an increased advisory fee, as a result of the rollover. No client is under any obligation to roll over retirement plan assets to an account managed by Farnam.

ERISA / IRC Fiduciary Acknowledgment

When Farnam Financial provides investment advice to a client regarding the client’s retirement plan account or individual retirement account, it does so as a fiduciary within the meaning of Title I of the Employee Retirement Income Security Act (“ERISA”) and/or the Internal Revenue Code (“IRC”), as applicable, which are laws governing retirement accounts. The way Farnam makes money may create some conflicts with client interests, so

Farnam operates under a special rule that requires it to act in the client's best interest and not put its interests ahead of the client's. Under this special rule's provisions, Farnam must: Meet a professional standard of care when making investment recommendations (give prudent advice); Never put its financial interests ahead of the client's when making recommendations (give loyal advice); Avoid misleading statements about conflicts of interest, fees, and investments; Follow policies and procedures designed to ensure that Farnam gives advice that is in the client's best interest; Charge no more than is reasonable for Farnam's services; and Provide the client basic information about conflicts of interest.

Wrap Fee Programs

We sponsor and participate in a wrap fee program. Please see Appendix 1 of our ADV Part 2A for our wrap fee program details. All investment management services are administered through the wrap fee program.

Assets Under Management

Farnam Financial currently reports \$161,447,231 discretionary and zero non-discretionary Assets Under Management. Assets Under Management were calculated as of December 31st, 2025.

Item 5: Fees and Compensation

How we are paid depends on the type of advisory service we are performing. Please review the fee and compensation information below.

Investment Management Services

Our standard advisory fee is based on the market value of the assets under management and is calculated as follows:

Account Value	Annual Advisory Fee
For the first \$0 - \$2,000,000	1.00%
\$2,000,001 to \$10,000,000	0.60%
\$10,000,001 and Above	0.30%

The annual fees are negotiable and are pro-rated and paid quarterly in arrears based on the average daily balance of client assets designated to be under our management during the prior calendar quarter. The advisory fee is a blended fee and is calculated by assessing the percentage rates using the predefined levels of assets as shown in the above chart, resulting in a combined weighted fee. For example, an account valued at \$7,000,000 would pay an effective fee of 0.71% with an annual fee of \$50,000. The quarterly fee is determined by the following calculation: $((\$2,000,000 \times 1.00\%) + (\$5,000,000 \times 0.60\%)) \div 4 = \$12,500$.

Advisory fees are directly debited from Client accounts, or the Client may choose to pay by check. Accounts initiated during a calendar quarter will be charged a prorated fee based on the amount of time remaining in the billing period. An account may be terminated with written notice at any time. Since fees are paid in arrears, no refund will be needed upon termination of the account. Fees are not prorated upon termination, as we will simply not charge any prorated amount for the quarter in which a termination occurs.

Ongoing Financial Planning will be included without additional charge for Clients utilizing Farnam Financial for Investment Management Services.

Ongoing Financial Planning

Ongoing Financial Planning consists of an ongoing fee that is paid quarterly, in arrears, at the rate of \$250-\$25,000 per quarter. The fee is based on complexity and needs of the Client, and may be negotiable in certain cases. Fees for this service may be paid by electronic funds transfer or check. This service may be terminated at any time. Since fees are paid in arrears, no refund will be needed upon termination of the account. Fees are not prorated upon termination, as we will simply not charge any prorated amount for the quarter in which a termination occurs.

Ongoing Financial Planning will be included without additional charge for Clients utilizing Farnam Financial for Investment Management Services.

Employer Retirement Plan Consultation and Management Services

We offer both plan set-up and plan management services for an asset-based fee.

Retirement Plan Asset-Based Fee

Asset-based fees for Employer retirement plan services are assessed on an annualized basis and are calculated based on the reporting period ending value of your account (e.g., the last U.S. market day of the previous quarter). These fees are billed quarterly, in arrears. Each program has a stated fee range that will be described to the plan sponsor's disclosure documents and prior to the selection of the custodian. Fees range from 0.5% to 1% (50 to 100 basis points) depending upon the program selected, investment strategies involved, portfolio holdings, asset size of the account, and the services provided to account holders. For Employer Retirement Plan Services, accounts will be valued in accordance with the values disclosed on the statement the plan sponsor and/or participant receives from the custodian or record keeper for the purpose of verifying the computation of the advisory fee. All fees deducted will be clearly noted on account statements that each participant receives from the custodian of record and/or third-party administrator on a quarterly basis. The withdrawal of these fees will be accomplished by the selected custodian or third-party administrator, not by our firm, and our fees will be remitted directly to our firm. Please note that account holders share in the responsibility to verify the accuracy of fee calculations; the custodian may not verify such fee accuracy.

RIA Consulting Service

RIA Consulting Service engagements are offered to other advisory firms at an hourly rate between \$90 and \$400 per hour, depending on complexity and scope of the project. The fee may be negotiable in certain cases. All fees are paid in arrears. Therefore, no refund will be needed upon termination of the account, and any earned but unpaid fees will be billed to the client based on the agreed upon hourly rate at the beginning of the engagement. Any completed deliverables will be provided to the Client and no further fees will be charged. Payment is due promptly upon receipt of the quarterly billing statement. Fees for this service may be paid by electronic funds transfer or check.

Educational Seminars and Speaking Engagements

Seminars and speaking engagements are conducted free of any charges or fees.

Other Types of Fees and Expenses

For non-wrap fee program Investment Management Services, our fees are exclusive of brokerage commissions and transaction fees. All of our clients will bear other related costs and expenses. Clients may incur certain charges imposed by custodians, brokers, and other third parties such as custodial fees, deferred sales charges, odd-lot differentials, transfer taxes, wire transfer, and electronic fund fees, and other fees and taxes on brokerage accounts and securities transactions. Mutual fund and exchange-traded funds also charge internal management fees, which are disclosed in a fund's prospectus. Such charges, fees, and commissions are exclusive of and in addition to our fee, and we shall not receive any portion of these commissions, fees, and costs.

Item 12 further describes the factors that we consider in selecting or recommending broker-dealers for Client's transactions and determining the reasonableness of their compensation (e.g., commissions).

We do not accept compensation for the sale of securities or other investment products including asset-based sales charges or service fees from the sale of mutual funds.

Item 6: Performance-Based Fees and Side-By-Side Management

We do not offer performance-based fees and do not engage in side-by-side management.

Item 7: Types of Clients

We provide financial planning to individuals and high net-worth individuals. Details on our investment management services are discussed in our ADV Part 2A - Appendix One - Wrap Fee Brochure .

We also provide financial planning consulting services to other RIAs, however, we do not provide services to Clients of other RIAs.

We do not have a minimum account size requirement for financial planning services.

Item 8: Methods of Analysis, Investment Strategies and Risk of Loss

Our primary method of investment analysis is Fundamental analysis.

Fundamental analysis involves analyzing individual companies and their industry groups, such as a company's financial statements, details regarding the company's product line, the experience, and expertise of the company's management, and the outlook for the company's industry. The resulting data is used to measure the true value of the company's stock compared to the current market value. The risk of fundamental analysis is that the information obtained may be incorrect and the analysis may not provide an accurate estimate of earnings, which may be the basis for a stock's value. If securities prices adjust rapidly to new information, utilizing fundamental analysis may not result in favorable performance.

Passive Investment Management

We primarily practice passive investment management. Passive investing involves building portfolios that are composed of various distinct asset classes. The asset classes are weighted in a manner to achieve the desired relationship between correlation, risk, and return. Funds that passively capture the returns of the desired asset classes are placed in the portfolio. The funds that are used to build passive portfolios are typically index mutual funds or exchange-traded funds.

Passive investment management is characterized by low portfolio expenses (i.e. the funds inside the portfolio have low internal costs), minimal trading costs (due to infrequent trading activity), and relative tax efficiency (because the funds inside the portfolio are tax efficient and turnover inside the portfolio is minimal).

In contrast, active management involves a single manager or managers who employ some method, strategy or technique to construct a portfolio that is intended to generate returns that are greater than the broader market or a designated benchmark.

Material Risks Involved

All investing strategies we offer involve risk and may result in a loss of your original investment which you should be prepared to bear. Many of these risks apply equally to stocks, bonds, commodities, and any other investment or security. Material risks associated with our investment strategies are listed below.

Market Risk: Market risk involves the possibility that an investment's current market value will fall because of a general market decline, reducing the value of the investment regardless of the operational success of the issuer's operations or its financial condition.

Strategy Risk: The Adviser's investment strategies and/or investment techniques may not work as intended.

Small and Medium Cap Company Risk: Securities of companies with small and medium market capitalizations are often more volatile and less liquid than investments in larger companies. Small and medium cap companies may face a greater risk of business failure, which could increase the volatility of the Client's portfolio.

Turnover Risk: At times, the strategy may have a portfolio turnover rate that is higher than other strategies. A high portfolio turnover would result in correspondingly greater brokerage commission expenses and may result in

the distribution of additional capital gains for tax purposes. These factors may negatively affect the account's performance.

Concentration Risk: Certain investment strategies focus on particular asset-classes, industries, sectors or types of investment. From time to time, these strategies may be subject to greater risks of adverse developments in such areas of focus than a strategy that is more broadly diversified across a wider variety of investments.

Interest Rate Risk: Bond (fixed income) prices generally fall when interest rates rise, and the value may fall below par value or the principal investment. The opposite is also generally true: bond prices generally rise when interest rates fall. In general, fixed income securities with longer maturities are more sensitive to these price changes. Most other investments are also sensitive to the level and direction of interest rates.

Legal or Legislative Risk: Legislative changes or Court rulings may impact the value of investments, or the securities' claim on the issuer's assets and finances.

Inflation: Inflation may erode the buying power of your investment portfolio, even if the dollar value of your investments remains the same.

Risks Associated with Securities

Apart from the general risks outlined above which apply to all types of investments, specific securities may have other risks.

Options and other derivatives carry many unique risks, including time-sensitivity, and can result in the complete loss of principal. While covered call writing does provide a partial hedge to the stock against which the call is written, the hedge is limited to the amount of cash flow received when writing the option. When selling covered calls, there is a risk the underlying position may be called away at a price lower than the current market price.

Exchange Traded Funds prices may vary significantly from the Net Asset Value due to market conditions. Certain Exchange Traded Funds may not track underlying benchmarks as expected. ETFs are also subject to the following risks: (i) an ETF's shares may trade at a market price that is above or below their net asset value; (ii) the ETF may employ an investment strategy that utilizes high leverage ratios; or (iii) trading of an ETF's shares may be halted if the listing exchange's officials deem such action appropriate, the shares are delisted from the exchange, or the activation of market-wide "circuit breakers" (which are tied to large decreases in stock prices) halts stock trading generally. The Adviser has no control over the risks taken by the underlying funds in which the Clients invest.

Mutual Funds: When a Client invests in open-end mutual funds or ETFs, the Client indirectly bears its proportionate share of any fees and expenses payable directly by those funds. Therefore, the Client will incur higher expenses, many of which may be duplicative. In addition, the Client's overall portfolio may be affected by losses of an underlying fund and the level of risk arising from the investment practices of an underlying fund (such as the use of derivatives).

Item 9: Disciplinary Information

Criminal or Civil Actions

Farnam Financial and its management have not been involved in any criminal or civil action.

Administrative Enforcement Proceedings

Farnam Financial and its management have not been involved in administrative enforcement proceedings.

Self-Regulatory Organization Enforcement Proceedings

Farnam Financial and its management have not been involved in legal or disciplinary events that are material to a Client's or prospective Client's evaluation of Farnam Financial or the integrity of its management.

Item 10: Other Financial Industry Activities and Affiliations

Neither the firm or any of its management persons including Jonathan Bird are registered, or have an application pending to register, as a broker-dealer or a registered representative of a broker-dealer.

Neither the firm or any of its management persons including Jonathan Bird are registered, or have an application pending to register, as a futures commission merchant, commodity pool operator, a commodity trading advisor, or an associated person of the foregoing entities.

Farnam Financial does not have any related parties. As a result, we do not have a relationship with any related parties.

Farnam Financial only receives compensation directly from Clients. We do not receive compensation from any outside source. We do not have any conflicts of interest with any outside party.

Item 11: Code of Ethics, Participation or Interest in Client Transactions and Personal Trading

As a fiduciary, our firm and its associates have a duty of utmost good faith to act solely in the best interests of each Client. Our Clients entrust us with their funds and personal information, which in turn places a high standard on our conduct and integrity. Our fiduciary duty is a core aspect of our Code of Ethics and represents the expected basis of all of our dealings. The firm also adheres to the Code of Ethics and Professional Responsibility adopted by the CFP® Board of Standards Inc., and accepts the obligation not only to comply with the mandates and requirements of all applicable laws and regulations but also to take responsibility to act in an ethical and professionally responsible manner in all professional services and activities

Code of Ethics Description

This code does not attempt to identify all possible conflicts of interest, and literal compliance with each of its specific provisions will not shield associated persons from liability for personal trading or other conduct that violates a fiduciary duty to advisory Clients. A summary of the Code of Ethics' Principles is outlined below.

- Integrity - Associated persons shall offer and provide professional services with integrity.
- Objectivity - Associated persons shall be objective in providing professional services to Clients.
- Competence - Associated persons shall provide services to Clients competently and maintain the necessary knowledge and skill to continue to do so in those areas in which they are engaged.
- Fairness - Associated persons shall perform professional services in a manner that is fair and reasonable to Clients, principals, partners, and employers, and shall disclose conflict(s) of interest in providing such services.
- Confidentiality - Associated persons shall not disclose confidential Client information without the specific consent of the Client unless in response to proper legal process, or as required by law.
- Professionalism - Associated persons' conduct in all matters shall reflect the credit of the profession.
- Diligence - Associated persons shall act diligently in providing professional services.

We periodically review and amend our Code of Ethics to ensure that it remains current, and we require all firm access persons to attest to their understanding of and adherence to the Code of Ethics at least annually. Our firm will provide a copy of its Code of Ethics to any Client or prospective Client upon request.

Investment Recommendations Involving a Material Financial Interest and Conflicts of Interest

Neither our firm, its associates or any related person is authorized to recommend to a Client or effect a transaction for a Client, involving any security in which our firm or a related person has a material financial interest, such as in the capacity as an underwriter, adviser to the issuer, etc.

Advisory Firm Purchase of Same Securities Recommended to Clients and Conflicts of Interest

Our firm and its “related persons” do not invest in the same securities, or related securities, e.g., warrants, options or futures, which we recommend to Clients.

Trading Securities At/Around the Same Time as Client’s Securities

Because our firm and its “related persons” do not invest in the same securities, or related securities, e.g., warrants, options or futures, which we recommend to Clients, we do not trade in securities at or around the same time as Clients.

Item 12: Brokerage Practices

Factors Used to Select Custodians and/or Broker-Dealers

Farnam Financial does not have any affiliation with Broker-Dealers. Specific custodian recommendations are made to the Client based on their need for such services. We recommend custodians based on the reputation and services provided by the firm.

1. Research and Other Soft-Dollar Benefits

We currently do not receive soft dollar benefits.

2. Brokerage for Client Referrals

We receive no referrals from a broker-dealer or third party in exchange for using that broker-dealer or third party.

3. Clients Directing Which Broker/Dealer/Custodian to Use

We do recommend specific custodians for Clients to use, however, Clients may custody their assets at a custodian of their choice. Clients may also direct us to use a specific broker-dealer to execute transactions. By allowing Clients to choose a specific custodian, we may be unable to achieve the most favorable execution of Client transactions and this may cost Clients money over using a lower-cost custodian.

The Custodian and Brokers We Use (Schwab)

Charles Schwab & Co., Inc. ("Schwab") and Altruist Financial LLC ("Altruist") provide us and our clients with access to institutional brokerage platforms, including trading, custody, reporting, and related services, many of which are not typically available to retail customers. Schwab and Altruist also make available various support services. Some of those services help us manage or administer our clients' accounts, while others help us manage and grow our business. These support services are generally available on an unsolicited basis and at no additional charge.

Services that Benefit Client

Schwab and Altruist's institutional brokerage services include access to a broad range of investment products, execution of securities transactions, and custody of client assets. The investment products available through Schwab and Altruist include some to which we might not otherwise have access or that would require a significantly higher minimum initial investment by our clients. Schwab and Altruist's services described in this paragraph generally benefit clients or their account(s).

Services that May Not Directly Benefit Clients

Schwab and Altruist also make available to us other products and services that benefit us but may not directly benefit the client or their account(s). These products and services assist us in managing and administering our clients' accounts. They include investment research, both Schwab and Altruist's own and that of third parties. We may use this research to service all or some substantial number of our clients' accounts, including accounts not maintained at Schwab and Altruist. In addition to investment research, Schwab and Altruist also makes available software and other technology that:

- provides access to client account data (such as duplicate trade confirmations and account statements);
- facilitates trade execution and allocate aggregated trade orders for multiple client accounts;

- provides pricing and other market data;
- facilitates payment of our fees from our clients' accounts; and
- assists with back-office functions, recordkeeping and client reporting.

Schwab and Altruist also offer other services intended to help us manage and further develop our business enterprise. These services include:

- educational conferences and events
- technology, compliance, legal, and business consulting;
- publications and conferences on practice management and business succession; and
- access to employee benefits providers, human capital consultants and insurance providers.

Schwab and Altruist may provide some of these services themselves. In other cases, it will arrange for third-party vendors to provide the services to us. Schwab and Altruist may also discount or waive its fees for some of these services or pay all or a part of a third party's fees.

Disclosure of fees and disincentives to trade:

Fees Not Included

The fees not included in the advisory fee for our wrap services are charges imposed directly by a mutual fund, index fund, or exchange traded fund which shall be disclosed in the fund's prospectus (i.e., fund management fees and other fund expenses), fees for trades executed away from the custodian, mark-ups and mark-downs, spreads paid to market makers, wire transfer fees and other fees and taxes on brokerage accounts and securities transactions.

Disincentive to trade

As Farnam Financial absorbs certain transaction costs in wrap fee accounts, this may have a financial incentive not to place transaction orders in those accounts since doing so increases its transaction costs. Thus, an incentive exists to place trades less frequently in a wrap fee arrangement.

Aggregating (Block) Trading for Multiple Client Accounts

Investment advisers may elect to purchase or sell the same securities for several Clients at approximately the same time when they believe such action may prove advantageous to Clients. This process is referred to as aggregating orders, batch trading or block trading. We generally do not aggregate, batch, or block trade client accounts due to the unique portfolio objectives and trading decisions that are implemented for each client and account. Directing the purchase and sale of securities for clients' accounts on an individual basis, rather than in aggregate blocks, may result in increased client transaction costs. To the extent the securities purchased and sold by Farnam Financial are mutual funds (each of which generally price at the same respective net asset value at the end of each trading day), Farnam Financial believes that the potential for increased client transaction costs by not aggregating orders is substantially eliminated. If we decide to aggregate, batch, or block trade client orders, we will do so in a manner where no client is systematically advantaged or disadvantaged.

Item 13: Review of Accounts

Jonathan Bird, Owner and CCO of Farnam Financial, will work with Clients to obtain current information regarding their assets and investment holdings and will review this information as part of our financial planning services. Farnam Financial does not provide specific reports to financial planning Clients, other than financial plans.

Client accounts with the Investment Advisory Service will be reviewed regularly on a quarterly basis by Jonathan Bird, Owner and CCO. The account is reviewed with regards to the Client's investment policies and risk tolerance levels. Events that may trigger a special review would be unusual performance, additions or deletions of Client imposed restrictions, excessive draw-down, volatility in performance, or buy and sell decisions from the firm or per Client's needs.

Clients will receive trade confirmations from the broker(s) for each transaction in their accounts as well as monthly or quarterly statements and annual tax reporting statements from their custodian showing all activity in the accounts, such as receipt of dividends and interest.

Farnam Financial will not provide written reports to Investment Advisory Clients.

Employer Retirement Plan Consultation and Management Services

Plan sponsors should contact our firm for additional reviews when making decisions about changes to their plan. Periodic reviews are recommended on an annual basis whenever practical. Reviews will be conducted by the assigned investment advisor representative associated with our firm, as well as other plan advisors if requested. These reviews normally involve an analysis and possible plan revision recommendations, and a copy of the review, revised plans or reports will be provided. Unless provided for in the engagement agreement with our firm, reviews are generally conducted under a new or amended agreement.

Item 14: Client Referrals and Other Compensation

Farnam Financial engages an independent, unaffiliated promoter to refer potential clients. Farnam Financial compensates the promoter when a referred individual becomes a client of Farnam Financial. Farnam Financial does not charge referred clients any fees or costs higher than its standard fee schedule offered to its clients obtained from other sources. The promoter's website includes important disclosures regarding the nature of the compensation arrangement between Farnam Financial and the promoter.

Item 15: Custody

For clients that do not have their fees deducted directly from their account(s), and have not provided Adviser with any standing letters of authorization (“SLOAs”) to distribute funds from their account(s) to third parties, Adviser will not have any custody of client funds or securities.

For clients that have their fees deducted directly from their account(s), or that have provided Adviser with discretion as to amount and timing of disbursements pursuant to an SLOA to disburse funds from their account(s) to third parties, Adviser will generally be deemed to have custody over such clients’ funds pursuant to applicable custody rules and guidance thereto. At no time will Adviser accept custody of client funds or securities in the capacity of a custodial broker-dealer or other qualified custodian, and at all times client accounts will be held by a third-party qualified custodian as described in Item 12, above.

With respect to custody that is triggered by third party SLOAs, Adviser endeavors to comply with the following seven conditions as listed in the 2017 SEC No Action Letter to the Investment Adviser Association:

1. The client provides an instruction to the qualified custodian, in writing, that includes the client’s signature, the third party’s name, and either the third party’s address or the third party’s account number at a custodian to which the transfer should be directed.
2. The client authorizes the investment adviser, in writing, either on the qualified custodian’s form or separately, to direct transfers to the third party either on a specified schedule or from time to time.
3. The client’s qualified custodian performs appropriate verification of the instruction, such as a signature review or other method to verify the client’s authorization, and provides a transfer of funds notice to the client promptly after each transfer.
4. The client has the ability to terminate or change the instruction to the client’s qualified custodian.
5. The investment adviser has no authority or ability to designate or change the identity of the third party, the address, or any other information about the third party contained in the client’s instruction.
6. The investment adviser maintains records showing that the third party is not a related party of the investment adviser or located at the same address as the investment adviser.
7. The client’s qualified custodian sends the client, in writing, an initial notice confirming the instruction and an annual notice reconfirming the instruction.

If a client receives account statements from both the custodial broker-dealer and Adviser or a third-party report provider, client is urged to compare such account statements and advise Adviser of any discrepancies between them.

Item 16: Investment Discretion

For those Client accounts where we provide Investment Management Services, we maintain discretion over Client accounts with respect to securities to be bought and sold, the amount of securities to be bought and sold, and the timing of when securities are to be bought and sold. Investment discretion is explained to Clients in detail when an advisory relationship has commenced. At the start of the advisory relationship, the Client will execute a Limited Power of Attorney, which will grant our firm discretion over the account. Additionally, the discretionary relationship will be outlined in the advisory contract and signed by the Client.

Item 17: Voting Client Securities

We do not vote Client proxies. Therefore, Clients maintain exclusive responsibility for: (1) voting proxies, and (2) acting on corporate actions pertaining to the Client's investment assets. The Client shall instruct the Client's qualified custodian to forward to the Client copies of all proxies and shareholder communications relating to the Client's investment assets. If the Client would like our opinion on a particular proxy vote, they may contact us at the number listed on the cover of this brochure.

In most cases, you will receive proxy materials directly from the account custodian. However, in the event we were to receive any written or electronic proxy materials, we would forward them directly to you by mail, unless you have authorized our firm to contact you by electronic mail, in which case, we would forward you any electronic solicitation to vote proxies.

Item 18: Financial Information

Registered investment advisers are required in this Item to provide you with certain financial information or disclosures about our financial condition. We have no financial commitment that impairs our ability to meet contractual and fiduciary commitments to Clients, and we have not been the subject of a bankruptcy proceeding.

We do not have custody of Client funds or securities or require or solicit prepayment of more than \$1,200 in fees per Client six months in advance.